

UPSC INDIAN POLITY

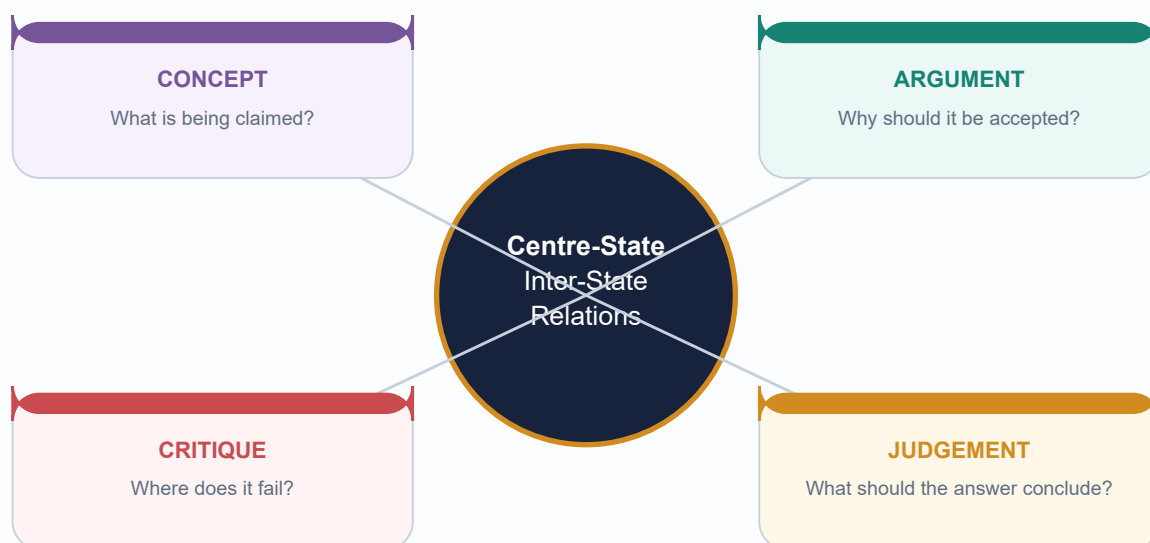
Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE Deep-Learning Visual Notes

Indian Polity • GS Paper II • Prelims + Mains

Layer 1: Basic foundation • Layer 2: Advanced constitutional and exam depth

Sources: Centre-State-Relations.md + 13_Centre-State-and-Inter-State-Relations.md

Learning cards: 27



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

Foundation • Core Foundation

GS-II Indian
Polity

INTRO & ORIGIN

greater than **Subject:** Polity · **Tier:** Basic (foundation) · **GS Paper:** GS-II

Foundation learning layer: concepts → constitutional detail → UPSC application.

CORE FOUNDATION: RECALL MAP

Core Foundation

Dimension 1 greater than Subject: Polity · Tier: Basic (foundation) · GS Paper: GS-II	Dimension 2 greater than Grounded in: Laxmikant Ch. 14–15. □ = from book · □□ = inference · □ = current affairs.
Dimension 3 greater than Full depth: advanced/13Centre-State-and-Inter-State-Relations.md.	

STATIC THEORY

- greater than **Grounded in:** Laxmikant Ch. 14–15. □ = from book · □□ = inference · □ = current affairs.
- greater than *Full depth:* advanced/13_Centre-State-and-Inter-State-Relations.md.

MUST-KNOW FACTS

1. greater than **Grounded in:** Laxmikant Ch. 14–15. = from book · □□ = inference · □ = current affairs.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → Core Foundation

HIGH

Foundation • Snapshot — three dimensions of Centre-State relations

GS-II Indian
Polity

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Dimension	Articles	Part
□ Legislative	245–255	XI
□ Administrative	256–263	XI
□ Financial	268–293	XII
□ Inter-State	262, 263, 261, 301–307	XI & XIII

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → Snapshot — three dimensions of Centre-State relations

HIGH**Foundation · Legislative relations**

GS-II Indian Polity

INTRO & ORIGIN

□ **7th Schedule:** Union (98), State (59), Concurrent (52); **residuary** → **Centre**. □ **42nd Amdt** moved **5 subjects** **State**→**Concurrent**: education, forests, weights & measures, wildlife protection, administration of justice.

Foundation learning layer: concepts → constitutional detail → UPSC application.

LEGISLATIVE RELATIONS: RECALL MAP**Legislative relations****Dimension 1**

□ 7th Schedule: Union (98), State (59), Concurrent (52); residuary → Centre. □ 42nd Amdt moved 5 subjects
State→Concurrent: education, forests, weight

Dimension 2

greater than □ Parliament can legislate on State List in 5 cases: "R-N-S-I-P" = Rajya Sabha resolution

Dimension 3

greater than (Art 249) · National Emergency (250) · States' request (252) · International agreement (253) ·

Dimension 4

greater than President's Rule.

STATIC THEORY

- greater than □ **Parliament can legislate on State List in 5 cases: "R-N-S-I-P" = Rajya Sabha resolution**
- greater than (Art 249) · **National Emergency (250)** · **States' request (252)** · **International agreement (253)** ·
- greater than **President's Rule**.

MEMORY HOOK

greater than Parliament can legislate on State List in 5 cases: "R-N-S-I-P" = Rajya Sabha resolution

MUST-KNOW FACTS

1. 7th Schedule: Union (98), State (59), Concurrent (52); **residuary** → **Centre**. **42nd Amdt** moved **5 subjects** **State**→**Concurrent**: education, forests, weights & measures, wildlife protection, administration of justice.

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → Legislative relations

HIGH

Foundation • Administrative relations

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Polity

INTRO & ORIGIN

□ **Art 365**: state ignoring Centre's directions → can trigger **President's Rule (Art 356)**. □ **All-India Services (Art 312)**: IAS, IPS, **Indian Forest Service (IFoS, 1966)** — not the Indian Foreign Service; a new AIS needs a Rajya Sabha resolution. □ **Art 355**: Centre must protect states from external aggression/internal disturbance.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

1. **Art 365**: state ignoring Centre's directions → can trigger **President's Rule (Art 356)**. **All-India Services (Art 312)**: IAS, IPS, **Indian Forest Service (IFoS, 1966)** — not the Indian Foreign Service; a new AIS needs a Rajya Sabha resolution. **Art 355**: Centre must protect states from external aggression/internal disturbance.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → Administrative relations

HIGH

Foundation • Financial relations

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Polity

INTRO & ORIGIN

□ Taxing power must be expressly conferred; the Concurrent List contains **no general tax entry**. GST is governed by the **special concurrent legislative power in Art 246-A**, not by a Concurrent-List entry. □ **80th Amdt (2000)**: implemented the alternative tax-devolution scheme recommended by the Tenth Finance Commission. □ **Grants**: statutory (Art 275, FC-based) + discretionary (Art 282).

Foundation learning layer: concepts → constitutional detail → UPSC application.

FINANCIAL RELATIONS: RECALL MAP

Financial relations

Dimension 1

□ Taxing power must be expressly conferred; the Concurrent List contains no general tax entry. GST is governed by the special concurrent legislative p

Dimension 2

greater than □ Tax-distribution articles: 268 (Centre levies, state keeps) · 269 (assigned) · 269-A (inter-state

Dimension 3

greater than GST) · 270 (shared via Finance Commission) · 271 (surcharge, Centre only).

STATIC THEORY

- greater than □ **Tax-distribution articles**: 268 (Centre levies, state keeps) · 269 (assigned) · 269-A (inter-state
- greater than GST) · **270 (shared via Finance Commission)** · 271 (surcharge, Centre only).

MEMORY HOOK

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MUST-KNOW FACTS

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MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → Financial relations

HIGH**Foundation · Inter-State relations**

GS-II Indian Polity

INTRO & ORIGIN

□ **Water disputes (Art 262)**: tribunals; SC can be **barred**; **9 tribunals** (e.g. **Cauvery 1990**). □ **Inter-State Council (Art 263)**: set up **1990** (Sarkaria Commission), **chaired by PM**, advisory. □ **Art 301**: trade & commerce "**shall be free**." □ **Zonal Councils**: **statutory (SRA 1956)**, 5 zones, chaired by **Union Home Minister**; **NEC = 1971 Act**.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

1. **Water disputes (Art 262)**: tribunals; SC can be **barred**; **9 tribunals** (e.g. **Cauvery 1990**). **Inter-State Council (Art 263)**: set up **1990** (Sarkaria Commission), **chaired by PM**, advisory. **Art 301**: trade & commerce "**shall be free**." **Zonal Councils**: **statutory (SRA 1956)**, 5 zones, chaired by **Union Home Minister**; **NEC = 1971 Act**.

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → Inter-State relations

HIGH**Foundation · Must-Know Facts**

GS-II Indian Polity

INTRO & ORIGIN

□ **Finance Commission (Art 280)**: constitutional and periodic (every fifth year or

Foundation learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS: RECALL MAP**Must-Know Facts**

Dimension 1 □ Finance Commission (Art 280): constitutional and periodic (every fifth year or	Dimension 2 earlier); Laxmikanth describes it as quasi-judicial and the "balancing wheel of fiscal federalism."
Dimension 3 □ GST Council (Art 279-A): joint Centre-state forum on rates/exemptions.	Dimension 4 □ States can borrow only within India & need Centre's consent if a Central loan is outstanding.

STATIC THEORY

- earlier); Laxmikanth describes it as quasi-judicial and the "balancing wheel of fiscal federalism."
- ☐ **GST Council (Art 279-A)**: joint Centre-state forum on rates/exemptions.
- ☐ States can borrow **only within India** & need Centre's consent if a Central loan is outstanding.
- ☐ Concurrent conflict → **Central law prevails** (unless state law got President's assent).

MUST-KNOW FACTS

1. **Finance Commission (Art 280)**: constitutional and periodic (every fifth year or
2. **GST Council (Art 279-A)**: joint Centre-state forum on rates/exemptions.
3. States can borrow **only within India** & need Centre's consent if a Central loan is outstanding.
4. Concurrent conflict → **Central law prevails** (unless state law got President's assent).

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → Must-Know Facts

HIGH

Foundation • ☐ **Current link**

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NEWS TRIGGER

☐ ☐ **16th Finance Commission** — Chair **Arvind Panagariya**; report submitted **17 Nov 2025**; recommendations cover **2026-31** and took effect from **1 Apr 2026**. The government retained vertical devolution at **41%** and accepted a horizontal formula including **Contribution to GDP (10%)**. (*Official status checked 21 Jul 2026: Sixteenth Finance Commission report and Union Government action-taken material.*) ☐ ☐ **GST Council** recommendations are persuasive, not binding (*Union of India v. Mohit Minerals*, 2022). Governor-assent doctrine is stated in the Governor file using the Supreme Court's 2025 judgment and later Article 143 opinion. ☐ ☐ For all articles, tribunal list, Inter-State Council composition & traps → advanced/13_Centre-State-and-Inter-State-Relations.md.

INTRO & ORIGIN

Exam-ready treatment of ☐ **Current link**.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → ☐ **Current link**

HIGH

Advanced • Core Foundation

GS-II Indian
Polity

INTRO & ORIGIN

greater than **Subject:** Polity · **Tier:** Advanced (exam depth) · **GS Paper:** GS-II

Advanced learning layer: concepts → constitutional detail → UPSC application.

CORE FOUNDATION: RECALL MAP

Core Foundation

Dimension 1 greater than Subject: Polity · Tier: Advanced (exam depth) · GS Paper: GS-II	Dimension 2 greater than Grounded in: Indian Polity by M. Laxmikant, Ch. 14–15 (direct check of the local Sixth Revised Edition PDF) + official updates.
Dimension 3 greater than □ = from source book · □□ = inference · □ = current affairs.	Dimension 4 greater than Companion: basic/Centre-State-Relations.md.

STATIC THEORY

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MUST-KNOW FACTS

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MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → Core Foundation

HIGH

Advanced • PART A — CENTRE-STATE RELATIONS
(three dimensions)GS-II Indian
Polity

INTRO & ORIGIN

Exam-ready treatment of PART A — CENTRE-STATE RELATIONS (three dimensions).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → PART A — CENTRE-STATE RELATIONS (three dimensions)

HIGH

Advanced · A1. Legislative Relations (Art 245–255, Part XI) □GS-II Indian
Polity**INTRO & ORIGIN**

Structured comparison from the advanced source layer.

KEY DATA

Trigger	Article	Duration
□ Rajya Sabha resolution (national interest)	249	1 yr (renewable); law lapses 6 months after
□ National Emergency	250	law inoperative 6 months after emergency
□ States' request (2+ states)	252	e.g. Wildlife Act 1972, Water Act 1974; only Parliament can amend
□ Implement international agreements	253	e.g. UN Privileges Act, Anti-Hijacking Act, TRIPS
□ During President's Rule	356	law continues even after; state may repeal later

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → A1. Legislative Relations (Art 245–255, Part XI) □

HIGH

Advanced · A1. Legislative Relations (Art 245–255, Part XI) □GS-II Indian
Polity**INTRO & ORIGIN**

□ **Four aspects:** territorial extent · distribution of subjects · Parliament in the state field · Centre's control over state legislation.

Advanced learning layer: concepts → constitutional detail → UPSC application.

A1. LEGISLATIVE RELATIONS (ART 245–255, PART XI) □: RECALL MAP**A1. Legislative Relations (Art 245–255, Part XI)** □**Dimension 1**

□ Four aspects: territorial extent · distribution of subjects · Parliament in the state field · Centre's control over state legislation.

Dimension 2

Territorial extent: □ Parliament → whole/part of India + extraterritorial legislation (Indian citizens & property anywhere). State legislature → only

Dimension 3

Distribution of subjects (7th Schedule): □ Union List (98), State List (59), Concurrent List (52). Residuary → Centre (Canadian precedent; Gol Act 193)

Dimension 4

Parliament in the State field — 5 extraordinary situations: □

STATIC THEORY

- **Territorial extent:** □ Parliament → whole/part of India + **extraterritorial legislation** (Indian citizens & property anywhere). State legislature → only its territory (unless **sufficient nexus**). Exceptions where Parliament's law doesn't apply: **President's regulations** for 5 UTs (A&N, Lakshadweep, DNH&DD, Ladakh); Governor may bar an Act in **scheduled/tribal areas**.
- **Distribution of subjects (7th Schedule):** □ **Union List (98), State List (59), Concurrent List (52)**. Residuary → **Centre** (Canadian precedent; Gol Act 1935 gave residuary to Governor-General). □ **42nd Amendment (1976)** shifted **5 subjects** State→Concurrent: **education, forests, weights & measures, protection of wild animals & birds, administration of justice**. **Predominance order: Union greater than Concurrent greater than State**. In Concurrent conflict, **Central law prevails** — *unless* state law was reserved for & got **President's assent** (then state law prevails in that state, but Parliament can still override).
- **Parliament in the State field — 5 extraordinary situations:** □
- **Centre's control:** Governor may reserve bills; the **President** can exercise an absolute veto over a reserved state bill. Some State-List bills need President's **prior sanction**; during **financial emergency** money bills reserved. □ **Sarkaria Commission:** federal supremacy is "**a technique to avoid absurdity, resolve conflict.**"

MUST-KNOW FACTS

1. **Four aspects:** territorial extent · distribution of subjects · Parliament in the state field · Centre's control over state legislation.
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MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → A1. Legislative Relations (Art 245–255, Part XI) □

HIGH

Advanced · A2. Administrative Relations (Art 256–263, Part XI) □

GS-II Indian
Polity

INTRO & ORIGIN

□ **Executive power** divided along legislative lines. **Two obligations on states (Art 256-257):** (a) comply with Central laws; (b) not impede Centre's executive power. **Art 365:** if a state fails to comply with Centre's directions → President may hold that government "**cannot be carried on**" → **Art 356 (President's Rule)**. □ **Centre's directions** to states on: communications of national/military importance, protection of railways, mother-tongue instruction for linguistic minorities, welfare schemes for STs. □ **Mutual delegation:** President→state (with consent) or Governor→Centre (with consent); Centre can also impose duties by **parliamentary law without state consent** — a state **cannot** do the reverse. □ **Cooperation devices:** inter-state water dispute adjudication (Art 262), **Inter-State Council (Art 263, set up 1990)**, Full Faith & Credit (Art 261). □ **All-India Services (Art 312):** IAS + IPS (ICS/IP replaced 1947) + **Indian Forest Service (IFoS, created 1966; not the Indian Foreign Service)**; new AIS needs **Rajya Sabha resolution**. Ambedkar defended them for "**strategic posts**." Recruited/trained by Centre; **ultimate control = Centre, immediate control = state**. □ **Integrated judiciary; Art 355** duty on Centre (protect states vs external aggression/internal disturbance + ensure constitutional governance). Extra-constitutional bodies: **NITI Aayog** (succeeded Planning Commission), National Integration Council, Zonal Councils.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

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MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED / COMPLETE** → A2. Administrative Relations (Art 256–263, Part XI) □

HIGH

Advanced · A3. Financial Relations (Art 268–293, Part XII) □ □

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

Category	Article
□ Levied by Centre, collected & appropriated by states (stamp duties)	268
□ Levied & collected by Centre, assigned to states (inter-state trade taxes)	269
□ GST in inter-state trade — levied/collected by Centre, shared per GST Council	269-A
□ Levied & collected by Centre, distributed Centre↔states (per Finance Commission)	270
□ Surcharge for Centre's purposes (states get no share; GST exempt)	271

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → A3. Financial Relations (Art 268–293, Part XII) □□

HIGH

Advanced • A3. Financial Relations (Art 268–293, Part XII) □□

GS-II Indian Polity

INTRO & ORIGIN

□ **Taxing powers:** the book counts Union List **13 tax entries** and State List **18 tax entries**; the Concurrent List has **no general tax entry**. GST's shared legislative competence comes from the special rule in **Art 246-A** (101st Amendment), not from a Concurrent-List entry. Residuary tax → Parliament. Professional tax cap = **₹2,500/annum**.

Advanced learning layer: concepts → constitutional detail → UPSC application.

A3. FINANCIAL RELATIONS (ART 268–293, PART XII) □□: RECALL MAP

A3. Financial Relations (Art 268–293, Part XII) □□

Dimension 1 □ Taxing powers: the book counts Union List 13 tax entries and State List 18 tax entries; the Concurrent List has no general tax entry. GST's shared I	Dimension 2 Distribution of tax revenues: □
Dimension 3 □ 80th Amendment (2000): "Alternative Scheme of Devolution" — 29% of certain central taxes to states (from 10th FC). □ 101st Amendment (2016): GST — s	

STATIC THEORY

• Distribution of tax revenues: □

• □ **80th Amendment (2000)**: "Alternative Scheme of Devolution" — 29% of certain central taxes to states (from 10th FC). □ **101st Amendment (2016)**: GST — subsumed Central (excise, service tax, CVD...) & State (VAT, entry/octroi, luxury, entertainment...) indirect taxes; removed cascading; one national market. **Grants**: □ **Statutory (Art 275)** — need-based, on FC recommendation; **Discretionary (Art 282)** — any public purpose, Centre's discretion (leverage over states). □ **GST Council (Art 279-A)**: joint Centre-state forum; recommends rates/exemptions/threshold. □ **Finance Commission (Art 280)**: constitutional and periodic, described by Laxmikanth as **quasi-judicial**, constituted **every 5 years**; "**balancing wheel of fiscal federalism**." □ **Borrowing**: Centre borrows within/outside India; **state only within India**, and **needs Centre's consent** if a Central loan is outstanding.

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MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED / COMPLETE** → A3. Financial Relations (Art 268–293, Part XII) □□

HIGH

Advanced · PART B — INTER-STATE RELATIONS (Art 262, 263, 261, 301–307) □

GS-II Indian Polity

INTRO & ORIGIN

Exam-ready treatment of PART B — INTER-STATE RELATIONS (Art 262, 263, 261, 301–307) □.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED / COMPLETE** → **PART B — INTER-STATE RELATIONS** (Art 262, 263, 261, 301–307) □

HIGH

Advanced · B1. Inter-State Water Disputes (Art 262)

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INTRO & ORIGIN

□ Parliament may bar even the **Supreme Court's jurisdiction**. Two laws (**both 1956**): **River Boards Act + Inter-State Water Disputes Act** (ad hoc **tribunal**, decision final & binding). □ **9 tribunals** set up so far — e.g. **Cauvery (1990**: Karnataka/Kerala/TN/Puducherry), Krishna, Godavari, Narmada, Ravi-Beas, **Mahanadi (2018**: Odisha/Chhattisgarh).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

1. Parliament may bar even the **Supreme Court's jurisdiction**. Two laws (**both 1956**): **River Boards Act + Inter-State Water Disputes Act** (ad hoc **tribunal**, decision final & binding). **9 tribunals** set up so far — e.g. **Cauvery (1990**: Karnataka/Kerala/TN/Puducherry), Krishna, Godavari, Narmada, Ravi-Beas, **Mahanadi (2018**: Odisha/Chhattisgarh).

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → B1. Inter-State Water Disputes (Art 262)

HIGH

Advanced · B2. Inter-State Council (Art 263) □

GS-II Indian
Polity

INTRO & ORIGIN

□ President may establish; duties: enquire into disputes, investigate common-interest subjects, recommend policy coordination (function is **advisory**, unlike Art 131 SC binding). □ **Sarkaria Commission** urged a permanent council ("Inter-Governmental Council") → **V.P. Singh govt set it up in 1990**. **Chair = PM**; members = all CMs, UT CMs/administrators, 6 Union cabinet ministers. Its procedural guidelines envisage at least three meetings a year, in camera and by consensus; actual practice has been much less regular. Standing Committee (1996, chaired by the Union Home Minister).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

1. President may establish; duties: enquire into disputes, investigate common-interest subjects, recommend policy coordination (function is **advisory**, unlike Art 131 SC binding). **Sarkaria Commission** urged a permanent council ("Inter-Governmental Council") → **V.P. Singh govt set it up in 1990**. **Chair = PM**; members = all CMs, UT CMs/administrators, 6 Union cabinet ministers. Its procedural guidelines envisage at least three meetings a year, in camera and by consensus; actual practice has been much less regular. Standing Committee (1996, chaired by the Union Home Minister).

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → B2. Inter-State Council (Art 263) □

HIGH

Advanced · B3. Full Faith & Credit (Art 261)

GS-II Indian
Polity

INTRO & ORIGIN

□ Public acts/records/judicial proceedings of Centre & states recognised throughout India; **civil** judgements executable anywhere (not **criminal**/penal laws).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

1. Public acts/records/judicial proceedings of Centre & states recognised throughout India; **civil** judgements executable anywhere (not **criminal**/penal laws).

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → B3. Full Faith & Credit (Art 261)

HIGH

Advanced · B4. Inter-State Trade & Commerce (Art 301–307, Part XIII)

GS-II Indian
Polity

INTRO & ORIGIN

□ **Art 301**: trade, commerce & intercourse "**shall be free**" (inter- AND intra-state). Restrictions: Parliament (public interest, no inter-state preference except scarcity); state legislature (reasonable restrictions, **needs President's prior sanction**, no discrimination).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

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MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → B4. Inter-State Trade & Commerce (Art 301–307, Part XIII)

HIGH

Advanced · B5. Zonal Councils (statutory — SRA 1956) □

GS-II Indian
Polity

INTRO & ORIGIN

□ **5 zones** (Northern, Central, Eastern, Western, Southern) — **statutory, not constitutional**. **Common chairman = Union Home Minister**; each CM is vice-chair by **annual rotation**. Advisory/ deliberative. □ **North-Eastern Council** = separate Act (**NEC Act 1971**); 8 members (7 NE states + **Sikkim**, added later).

Advanced learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS

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MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → B5. Zonal Councils (statutory — SRA 1956) □

HIGH**Advanced** • □ **CA anchors** □**GS-II** Indian
Polity**INTRO & ORIGIN**

□ □ **16th Finance Commission** — constituted 2023, **Chair: Arvind Panagariya** (ex-NITI Aayog VC); report submitted **17 Nov 2025**; award period **2026-27 to 2030-31**, effective **1 Apr 2026**. The government retained vertical devolution at **41%** and accepted a horizontal formula adding **Contribution to GDP (10%)**. (*Official status checked 21 Jul 2026 against the Sixteenth Finance Commission report and Union Government action-taken material.*) Debate: equity vs efficiency, population criteria and the divisible pool. □ □ □ **GST Council** (Art 279-A) frictions — compensation cess end, rate rationalisation, and the **voting-vs-consensus** debate after *Mohit Minerals* (2022, SC: GST Council recommendations are **persuasive, not binding** → reaffirmed fiscal federalism). □ □ **Governor assent**: *State of Tamil Nadu v. Governor of Tamil Nadu* (8 Apr

Advanced learning layer: concepts → constitutional detail → UPSC application.

□ **CA ANCHORS** □: **RECALL MAP**□ **CA anchors** □

Dimension 1 □ □ 16th Finance Commission — constituted 2023, Chair: Arvind Panagariya (ex-NITI Aayog VC); report submitted 17 Nov 2025; award period 2026-27 to 2030	Dimension 2 imposed timelines/deemed assent in its case-specific reasoning; the later Article 143
Dimension 3 opinion, <i>In re: Assent, Withholding or Reservation of Bills</i> (20 Nov 2025), held that courts cannot create rigid timelines or automatic deemed assent,	

STATIC THEORY

- imposed timelines/deemed assent in its case-specific reasoning; the later Article 143
- opinion, *In re: Assent, Withholding or Reservation of Bills* (20 Nov 2025), held that courts cannot create rigid timelines or automatic deemed assent, while prolonged, unexplained, indefinite inaction remains open to limited judicial review.

MUST-KNOW FACTS

1. ☐ **16th Finance Commission** — constituted 2023, **Chair: Arvind Panagariya** (ex-NITI Aayog VC); report submitted **17 Nov 2025**; award period **2026-27 to 2030-31**, effective **1 Apr 2026**. The government retained vertical devolution at **41%** and accepted a horizontal formula adding **Contribution to GDP (10%)**. (*Official status checked 21 Jul 2026 against the Sixteenth Finance Commission report and Union Government action-taken material.*) Debate: equity vs efficiency, population criteria and the divisible pool. ☐ ☐ **GST Council** (Art 279-A) frictions — compensation cess end, rate rationalisation, and the **voting-vs-consensus** debate after *Mohit Minerals* (2022, SC: GST Council recommendations are **persuasive, not binding** → reaffirmed fiscal federalism). ☐ **Governor assent**: *State of Tamil Nadu v. Governor of Tamil Nadu* (8 Apr

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → ☐ CA anchors ☐

HIGH**Advanced • ☐ Legislative Doctrines (high-yield gap)****GS-II** Indian Polity**INTRO & ORIGIN**

Structured comparison from the advanced source layer.

KEY DATA

Doctrine	Core test	Result / Article link
☐ ☐ Pith and Substance	What is the true nature and dominant purpose of the law?	Incidental encroachment into another list does not invalidate it.
☐ ☐ Colourable Legislation	Is the legislature doing indirectly what it cannot do directly?	Law is invalid if the real substance is beyond competence.
☐ ☐ Repugnancy	Do Union and State laws conflict on a Concurrent List matter?	Art 254: Union law prevails; Presidential-assented State law may prevail in that State until Parliament overrides.

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED** / **COMPLETE** → ☐ Legislative Doctrines (high-yield gap)

HIGH**Advanced • ☐ Legislative Doctrines (high-yield gap)****GS-II** Indian Polity**INTRO & ORIGIN**

greater than ☐ Grounded in M. Laxmikant *Indian Polity* + ☐ standard + ☐ verified. Added to close a UPSC gap.

Advanced learning layer: concepts → constitutional detail → UPSC application.

□ LEGISLATIVE DOCTRINES (HIGH-YIELD GAP): RECALL MAP

□ Legislative Doctrines (high-yield gap)

Dimension 1 greater than □ Grounded in M. Laxmikant Indian Polity + □□ standard + □ verified. Added to close a UPSC gap.	Dimension 2 □ Laxmikant lists Art 254 as the rule for inconsistency between Parliamentary and State laws.
Dimension 3 □□ These doctrines protect federal balance by testing substance, not merely labels used by legislatures.	Dimension 4 □ Courts use them to decide legislative competence under the Seventh Schedule and conflicts on Concurrent List subjects.

STATIC THEORY

- □ Laxmikant lists Art 254 as the rule for inconsistency between Parliamentary and State laws.
- □□ These doctrines protect federal balance by testing **substance**, not merely labels used by legislatures.
- □ Courts use them to decide legislative competence under the Seventh Schedule and conflicts on Concurrent List subjects.
- greater than □ Trap: Repugnancy is mainly a **Concurrent List** conflict rule; pith-and-substance is a competence test across lists.

MEMORY HOOK

greater than Trap: Repugnancy is mainly a **Concurrent List** conflict rule; pith-and-substance is a competence test across lists.

MUST-KNOW FACTS

1. greater than Grounded in M. Laxmikant *Indian Polity* + □□ standard + □ verified. Added to close a UPSC gap.
2. Laxmikant lists Art 254 as the rule for inconsistency between Parliamentary and State laws.

MAINS ANGLE

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → □ Legislative Doctrines (high-yield gap)

HIGH

Advanced • UPSC Traps

GS-II Indian Polity

INTRO & ORIGIN

judicial" is a standard descriptive label, not the Constitution's own classification.

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- itself was created by **executive order (1990)**.

UPSC TRAPS

WRONG: Residuary powers rest with states

CORRECT: with the **Centre** (unlike USA).

WRONG: 42nd Amdt shifted subjects Concurrent

CORRECT: State → it was **State**→**Concurrent** (5 subjects).

WRONG: Art 249 needs a national emergency

CORRECT: **no** — only a **Rajya Sabha 2/3 resolution**.

WRONG: Zonal Councils are constitutional bodies

CORRECT: **statutory** (SRA 1956). NEC is under a **1971 Act**.

WRONG: Finance Commission is permanent

CORRECT: constituted every fifth year or earlier; "quasi

WRONG: Inter-State Council is a constitutional body

CORRECT: constitutional **provision (Art 263)** but the body

WRONG: GST Council recommendations bind the states

CORRECT: **persuasive only** (Mohit Minerals 2022).

MAINS ANGLE**STUDY LINK**

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED**
/ **COMPLETE** → UPSC Traps

HIGH**Advanced · Mains angles****GS-II** Indian
Polity**INTRO & ORIGIN**

Exam-ready treatment of Mains angles.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

*"The Finance Commission is the balancing wheel of fiscal federalism."
Examine amid 16th FC debates. Inter-state water disputes reveal the
limits of India's federal dispute-resolution — reform the tribunal system?
Governor's discretion over state bills vs cooperative federalism — where
should the line be?*

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — **ADVANCED**
/ **COMPLETE** → Mains angles

HIGH

Advanced · Verified PYQ applications

GS-II Indian
Polity

INTRO & ORIGIN

Exam-ready treatment of Verified PYQ applications.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

□ **2024 GS-II Q13 (15 marks, 250 words):** “What changes has the Union Government recently introduced in the domain of Centre-State relations? Suggest measures to be adopted to build the trust between the Centre and the States and for strengthening federalism.” Route: fiscal/GST, Governor-assent, centrally sponsored schemes and intergovernmental consultation -greater than predictable transfers, regular councils, bounded discretion and negotiated implementation. □

2025 GS-II Q14 (15 marks, 250 words): “Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?” Route: Planning Commission/NDC discretionary transfers -greater than Finance Commission/NITI/GST era -greater than 14th-16th FC devolution, cesses and conditional transfers -greater than gains in rules-based sharing but continuing vertical imbalance.

STUDY LINK

Centre-State & Inter-State Relations (Art 245–263, 268–293, 301–307) — ADVANCED / COMPLETE → Verified PYQ applications

End of Register Notes — UPSC Agent / Copilot CLI